

**BEFORE THE  
FEDERAL MARITIME COMMISSION**

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LOGFRET, INC.,

Complainant,

v.

KIRSHA, B.V.,  
Leendert Johannes BERGWERFF a/k/a Hans BERGWERFF,  
LINDA SIEVAL,

Respondents.

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Docket No. 18-10

**COMPLAINANT’S MEMORANDUM IN OPPOSITION  
TO RESPONDENTS’ MOTION TO DISMISS**

Pursuant to Rule 70(b) of the Federal Maritime Commission’s Rules of Practice and Procedure, *see* 46 C.F.R. § 502.70(b), Complainant Logfret, Inc. (“Complainant,” “Logfret” or “Logfret, Inc.”) respectfully submits this memorandum in opposition to the motion served by Respondents Kirsha B.V., Hans Bergwerff, and Linda Sieval (collectively, “Respondents”) to issue an order dismissing the Verified Complaint with prejudice as to all Respondents (“Motion to Dismiss”).

**INTRODUCTION**

Logfret filed its Verified Complaint against Respondents before the Federal Maritime Commission (“Commission” or “FMC”) on November 9, 2018. Well more than 25 days passed from the date of filing of the Complaint with no response from Respondents, in violation of Rule 62(b)(1) of the FMC Rules of Practice and Procedure. 46 C.F.R. § 502.62(b)(1). During this time Respondents not only failed to file an answer or provide a response of any kind to the

Commission, but also failed to make an appearance or serve any response on Complainant.<sup>1</sup>

On December 19, 2018, the Commission issued an Order Requiring Answer, which *sua sponte* provided Respondents with additional time beyond the 25 days provided in Rule 62(b)(1) to file an answer or response to the Complaint. The December 19, 2018 Order stated, “Respondents’ answer must be filed by January 9, 2019, or they will be in default.” Further, on December 26, 2018, Your Honor issued a Notice Regarding Deadlines, which stated the Commission’s offices would be inaccessible temporarily as a result of the partial federal government shutdown. Accordingly, Respondents’ responsive pleading was required to be served on Logfret on or by January 9, 2019.

Counsel for Respondents reportedly mailed Respondents’ Motion to Dismiss to Complainant on January 9, 2019, according to a Memorandum dated a week after this deadline. *See Ex. 2.* However, Counsel for Respondents failed to notify counsel for Logfret of the Motion to Dismiss by electronic mail on January 9, 2019, as requested in the Notices of Appearance. This Motion to Dismiss was also never physically delivered to Logfret’s counsel, a failure that counsel for Respondents attributed as “both weather and federal government shutdown related.” As such, it was only on the following Wednesday, January 16, 2018, that counsel for Respondents made it known to Logfret that it intended to make a special appearance in this proceeding and to serve a Motion to Dismiss.

On January 29, 2019, Logfret submitted a Motion to Request Extension of Time to File Complainant’s Response to Motion to Dismiss, requesting an additional seven (7) days to submit

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<sup>1</sup> On December 12, 2018, Ms. Sieval apparently emailed, with Mr. Bergwerff on copy, an FMC web address ([judges@fmc.gov](mailto:judges@fmc.gov)) stating, among other things, that the FMC had published home addresses and private email addresses of Ms. Sieval and Mr. Bergwerff, and urging the FMC to redact this information. On December 13, 2018, the Secretary of the FMC responded by removing the Complaint from the FMC website “as a courtesy for the time being” and advising Respondents to file a Motion to request confidentiality, which Respondents have not done. The Secretary of the FMC also advised that all documents in the proceeding must be filed in accordance with Rule 2 of the FMC Rules of Practice and Procedure (46 C.F.R. 502.2). *See Ex. 1.*

a response. The following day, on January 30, 2019, Your Honor determined the requested brief extension was reasonable and granted the seven-day extension, until February 7, 2019. On February 7, 2019, Logfret submitted a Motion to Amend Complaint, as well as a Motion for Extension of Time to File Complainant's Response in Opposition to Motion to Dismiss. On February 12, 2019, Your Honor issued an Order requiring Logfret to supplement the Motion to Amend Complaint with a memorandum of law supporting the motion as well as a proposed amended complaint. In the same Order, Your Honor granted the Motion for Extension of Time to allow Logfret to file the supplemental documents.

On Wednesday, February 20, 2019, the due date for the Amended Complaint and Memorandum of Support regarding same, the federal government offices in Washington, D.C., including the offices of the Federal Maritime Commission, were closed due to inclement weather. Rule 101 of the FMC Rules of Practice and Procedure, 46 C.F.R. § 502.101, states, "If the Commission's offices are inaccessible on the last day for a filing, the time for filing is extended to the first accessible day that is not a Saturday, Sunday, or Federal holiday." Given the closure of the FMC offices on February 20, 2019 and pursuant to FMC Rule 101, the Amended Complaint and Memorandum in Support were filed on Thursday, February 21, 2019. On Thursday, March 7, 2019 Respondents filed an Opposition to Motion to Amend Complaint and Statement of Impact of Proposed Amendment on Respondent's Motion to Dismiss. On Wednesday, April 24, 2019, Your Honor granted the Motion to Amend Complaint and further ordered that Complainant file its Opposition to Motion to Dismiss on or before May 8, 2019.

As such, this Memorandum in Opposition to Motion to Dismiss is timely submitted.

## **ARGUMENT IN OPPOSITION TO MOTION TO DISMISS**

The Commission has clear jurisdiction over the parties and claims in this proceeding. Respondents' assertions to the contrary lack merit. Count I in the Complaint describes a clear violation of the Shipping Act, which falls within the Commission's jurisdiction and expertise. Additionally, the Commission has personal jurisdiction over the foreign NVOCC Kirsha, B.V., as well as its principal Mr. Bergwerff who took action with the assistance of Ms. Sieval. Taking as true the allegations in the Complaint as the Commission must for purposes of considering Respondents' Motion to Dismiss, the Complaint alleges a valid cause of action pursuant to the Shipping Act. Respondents' Motion to Dismiss should be denied.

### **I. Standard of Review**

Respondents served Logfret, Inc. on Wednesday, January 16, 2019 with a Motion to Dismiss in this proceeding. The procedural adequacy of service of this Motion to Dismiss is an open question; indeed, this issue, combined with Respondents' lax posture in general toward this proceeding over the past few months, throw into question whether this Motion to Dismiss was timely. Provided that the Commission determines that the Motion to Dismiss was submitted and served in a timely fashion, and pursuant to Your Honor's April 24, 2019 Order requiring that Complainant file its Opposition to Motion to Dismiss on or before May 8, 2019, Complainant responds in opposition to the Motion to Dismiss.

It is well-accepted that the FMC is an agency of limited jurisdiction, with its adjudicatory powers tied to the scope of the Shipping Act. As such, the FMC is empowered to adjudicate disputes between parties in the ocean transportation industry when such disputes are based on violations of the Act. Such adjudications are an important part of the Commission's powers to enforce important prohibitions in the Act. *See* 46 U.S.C. Chapter 413 (Enforcement); 46 U.S.C.

§ 41301. The FMC must determine that it has jurisdiction over the parties to a proceeding as well as the subject matter contained in a complaint before moving to the merits of the dispute. *Kawasaki Kisen Kaisha, Ltd. v. Intercontinental Exchange, Inc.*, No. 00-01, 2000 WL 1285694, at \*1 (FMC Aug. 3, 2000) (“It is elementary law that a court or agency of limited jurisdiction such as the Federal Maritime Commission should determine its jurisdiction before proceeding to decide the merits of a controversy...”); *Insurance Corp. of Ireland v. Compagnie des Bauxites de Guinee*, 456 U.S. 694, 701 (1982) (“The validity of an order of a federal court depends upon that court’s having jurisdiction over both the subject matter and the parties.” (citations omitted)).

Respondents seek dismissal with prejudice of the Complaint for lack of personal and subject matter jurisdiction by the Commission. (Respondents’ Memorandum, p. 7.) No FMC Rules expressly permit Respondents to file a motion to dismiss for lack of jurisdiction. Nevertheless, Rule 12 of the FMC’s Rules of Practice and Procedure states, “In proceedings under this part, for situations which are not covered by a specific Commission rule, the Federal Rules of Civil Procedures will be followed to the extent that they are consistent with sound administrative practices.” (46 C.F.R. § 502.12.) Respondents therefore bring a Motion to Dismiss pursuant to Fed. R. Civ. P. 12(b)(1) and (2).

The standard used in Commission proceedings mirrors the standard used for evaluating motions to dismiss raised in federal courts. *See, e.g., Tienshan, Inc. v. Tianjin Hua Feng Transport Agency Co., Ltd*, FMC No. 08-04 (ALJ April 23, 2010) (Memorandum and Order on Respondent Tianjin Hua Feng Transport Agency Co., Ltd.'s Motion to Dismiss Pursuant to F.R.C.P. 12(b)(1) and (6) for Lack of Subject Matter Jurisdiction and for Failure to State a Claim for Relief).

Notably, when considering a motion to dismiss, the Commission must construe a

complaint in the light most favorable to the Complainant. Here, the pleadings and factual allegations in the Complaint must be reviewed in the light most favorable to the non-moving party, the Complainant. *See Howard v. Gutierrez*, 2005 WL 3274394, at \*2 (D.D.C. Sept. 30, 2005).

In effect, a motion to dismiss must successfully challenge a complainant's allegations of a violation and right to recovery thereto even where all of the complainant's factual allegations are taken to be true – truly a high bar for Respondents to meet in this proceeding. In light of this standard of review, Respondents fail to argue persuasively that Logfret, Inc.'s Complaint must be dismissed. The Complaint sufficiently establishes that the Commission has personal jurisdiction over Respondents as well as subject matter jurisdiction over the allegations that Respondents violated 46 U.S.C. § 41103(a), as set forth below.

## **II. The Commission Should Not Dismiss Logfret's Complaint for Lack of Jurisdiction**

### **A. The Commission Has Personal Jurisdiction Over Respondents**

The Complaint alleges that Respondents violated 46 U.S.C. § 41103(a), a prohibition in the Act that applies to “[a] common carrier, marine terminal operator, or ocean freight forwarder, *either alone or in conjunction with any other person, directly or indirectly...*” (emphasis added).

A common carrier is defined, with exceptions, as a person that:

“(i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation;

(ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and

(iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country.”

46 U.S.C. § 40102(6).

The facts and events set forth in the Complaint that establish a clear violation of § 41103(a) involved at least two common carriers. Those common carriers include Kirsha, B.V, a foreign NVOCC that is not registered with the FMC, and Delmar USA, a U.S.-based NVOCC licensed by the FMC (which is not a named party in this proceeding).<sup>2</sup>

Respondents' arguments that Kirsha B.V. is not a licensed ocean transportation intermediary ("OTI") or a common carrier or otherwise subject to the Shipping Act, as amended, are unpersuasive. (Respondent's Memorandum, p. 15-18.) It is Complainant's understanding that Kirsha B.V. *did* in fact function as an NVOCC—in practice, if not necessarily in name—and operated in the U.S. trades. While Kirsha B.V. is not registered as a foreign NVOCC with the Commission, this alone cannot be and is certainly not determinative. If anything, it is likely indicative of Kirsha B.V.'s noncompliance with the Shipping Act, in general, as it was "holding itself out" to the public as an (unlicensed) NVOCC. Despite Respondent's avowals to the contrary, Complainant believes that discovery will reveal additional facts in support of Kirsha B.V.'s status as an NVOCC.

The Commission has found entities conducting some or all of the following activities to be "holding itself out" to the public as an (unlicensed) NVOCC when operating in the U.S. trades: maintaining an Internet website in its own name that advertised the company as providing international relocations services; paying third parties for business leads; accepting shipments from different individual proprietary shippers for transportation in the U.S. trades; and having a

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<sup>2</sup> The Act defines a non-vessel-operating common carrier (NVOCC) as "a common carrier that—(A) does not operate the vessels by which the ocean transportation is provided; and (B) is a shipper in its relationship with an ocean common carrier." 46 U.S.C. § 40102(16). As Respondents themselves acknowledge, "Delmar International (N.Y.) Inc. is an FMC licensed OTI [Ocean Transportation Intermediary] incorporated in New York with a trade name of Delmar International (USA)." (Respondents' Memorandum, p. 4 n2.) Delmar International (N.Y.) Inc. is, in fact, registered with the FMC as a non-vessel-operating common carrier (NVOCC) and freight forwarder under FMC License No. 004031.

name that implies the company provides international shipping services.<sup>3</sup>

Similarly, the Commission has found entities conducting some or all of the following activities to be “assuming responsibility for the transportation of goods” as an (unlicensed) NVOCC— issuing bills of lading with the address of the company; having house bills of lading issued with the shipper “c/o” the company; issuing invoices with the name of the company; collecting payments directly from shippers by wire transfers, checks or online payments; directly paying licensed carriers, VOCCs or NVOCCs, for the shipment; arranging and paying inland freight charges for through shipments; and arranging for marine insurance among others. It is Complainant’s understanding that Kirsha B.V. performed all of the above unlicensed NVOCC activities when it was in operation and as such is subject to Commission jurisdiction, but, as noted, discovery is needed to reveal additional facts confirming the same.

Respondents also argue that Delmar USA’s role in the violation of 46 U.S.C. § 41103(a) “are [sic] clearly not as a common carrier, but rather as a handling agent for a common carrier, Logfret, Inc.” (Respondents’ Memorandum, p. 14.) Not only is this incorrect as a matter of fact, but the relevant and appropriate line of inquiry is more straightforward: whether or not Delmar USA is a “common carrier” full stop, as specified in § 41103(a). It is. The Shipping Act should not and does not permit a party to assume the mantle of a regulated party for some provisions of the Act and shed that mantle for others, as convenient. As discussed *supra*, it is clear that Delmar USA is, in fact, an NVOCC and, by extension, a “common carrier” under the Shipping Act. 46 U.S.C. § 40102(6).

Moreover, Complainant’s allegations recognize that Delmar USA participated in the violation of 46 U.S.C. § 41103(a) “in conjunction with...other person[s]...indirectly.” These

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<sup>3</sup> See *Worldwide Relocations, Inc. -- Possible Violations of Sections 8, 10, and 19 of the Shipping Act of 1984 as Well as the Commission's Regulations at 46 C.F.R. 515.13, 515.21, and 520.3*, Initial Decision, Docket No. 06-01. 56-74 (F.M.C. Aug 16, 2010).

other persons were Respondents, Kirsha B.V., Mr. Bergwerff, and Ms. Sieval, who are named parties in this proceeding. The Commission’s jurisdiction extends to such persons—a position supported by a plain reading of 46 U.S.C. § 41103(a). Despite—or perhaps because of—the FMC’s nature as an agency of limited jurisdiction, the modifying phrases in § 41103(a), like “either alone or in conjunction with any other person” and “directly or indirectly” are particularly noteworthy, in that they evince a clear legislative intent that § 41103(a) be read broadly in scope and enforced in the same light. Certainly Congress intended for the Act to prohibit certain shipping practices among common carriers, maritime terminal operators, and ocean freight forwarders, but for purposes of this provision Congress also intended that prohibition to cover a broader spectrum of unlicensed persons who were involved in shipping practices in the U.S. trades. The relevant inquiry in this case is whether these other persons are sufficiently “involved” in the conduct prohibited by § 41103(a) to have violated the statute and caused harm to Complainant.<sup>4</sup> Here Respondents not only participated in the violation of 46 U.S.C. § 41301(a) but without question also contributed to the harms inflicted on Complainant. As noted, Kirsha B.V. is a common carrier. The fact that the other two Respondents are not common carriers is not a magic talisman that absolves them of responsibility—or liability—for

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<sup>4</sup> Cf. *Plaquemines Port, Harbor & Terminal Dist. v. FMC*, 838 F.2d 536, 543 (D.C. Cir. 1988). In *Plaquemines*, the D.C. Circuit considered whether the FMC had personal jurisdiction under the Shipping Act to reach a municipal port that did not own or operate any wharves, docks or other waterside facilities. The alleged violation was of sections 16 and 17 of the Shipping Act of 1916, as amended, then-46 U.S.C. §§ 815 and 816. Section 815 prohibited, among other things, any common carrier by water or “other person subject to this chapter, either alone or in conjunction with any other person, directly or indirectly” from subjecting any particular person, locality or description of traffic to any undue or unreasonable prejudice or disadvantage. Section 816 directed, among other things, every carrier “and every other person subject to this chapter” to establish, observe and enforce just and reasonable regulations and practices relating to or connected with the receiving, handling, storing, or delivering of property.” The D.C. Circuit determined that the critical factor for jurisdiction over the municipal port was that “the degree of the Port’s involvement enables the Port to discriminate in the fees it charges by controlling access to private terminal facilities,” that is, to violate the act. *Id.*

In this case, the Commission is tasked with considering the scope of “other person” in 46 U.S.C. § 41103(a). Neither “other person” nor “person” are terms defined by the Act, as amended. See 46 U.S.C. § 40102. By a logic analogous to that in *Plaquemines*, the Commission should look to the significant degree of Respondents’ direct participation and involvement in the conduct prohibited by § 41103(a).

the damages that resulted from their actions.

The Act's language that provides for a private cause of action for persons harmed by violations of the Act drives this point home. 46 U.S.C. § 41301(a) sets forth this cause of action, stating:

“A person may file with the Federal Maritime Commission a sworn complaint alleging a violation of this part [46 U.S.C. Subtitle IV, Part A—Ocean Shipping (§§ 40101 – 41309)], except section 41307(b)(1). If the complaint is filed within 3 years after the claim accrues, the complainant may seek reparations for an injury to the complainant caused by the violation.”

A plain reading of Section 41301(a) does not require that a person filing a complaint seek reparations only from a common carrier, marine terminal operator, or ocean freight forwarder. This is reasonable, following from the fact that persons other than common carriers, marine terminal operators, or ocean freight forwarders are able to participate in or contribute to violations of the Act with the potential to harm private parties. The statute does, however, require an alleged violator or violators of the Act to have *caused* the injury for which the complainant seeks reparations. This causation requirement is reiterated in Commission case law, which mandates that any damages claimed by a complainant must be the “proximate result of violations of the statute in question.” *See Antonio Egberto Carneiro Lima v. Fastway Moving & Storage, Inc.*, Docket No. 17-03, 6 (citing, *e.g.*, *Waterman v. Stockholms Rederiaktiebolag Svea*, 3 F.M.B. 248, 249 (FMB 1950)). Complainant has alleged that collectively Respondents—including not only Kirsha B.V. but also Hans Bergwerff and Linda Sieval—participated in committing violations of the Act, and that these activities resulted in substantial harm to Complainant. Taken as true for purposes of this Motion to Dismiss, these allegations sufficiently show the Commission's personal jurisdiction over Respondents.

Moreover, if necessary the Commission may hold in abeyance a decision on a motion to

dismiss, deferring the decision to allow the parties to engage in discovery on jurisdictional issues. The Commission must be protective of Complainant's right to assert its claim based on a record that is complete as possible without factual disputes being prematurely resolved in advance of discovery and a full hearing on the merits. Delay is particularly appropriate when the issue of jurisdiction is interwoven with the merits of a case. *See* 5C C. Wright, A. Miller, & E. Cooper, *Federal Practice and Procedure: Civil* 3d § 1373 (2004) (discussing former Fed. R. Civ. P. 12(d), current Fed. R. Civ. P. 12(i)). In this case, the issues surrounding the Commission's personal jurisdiction over Respondents are bound up in the merits of Logfret, Inc.'s allegations. If Your Honor is disinclined to deny this Motion to Dismiss with respect to personal jurisdiction over Respondents, Logfret, Inc. respectfully requests that there be a delay ruling on the Motion, at the very least, pending a fuller factual record to be produced by discovery.

**B. The Commission Has Subject Matter Jurisdiction Over Complainant's Claims**

Respondent argues that Complainant has not sufficiently alleged that the Commission has jurisdiction over the subject matter raised in the Complaint. In doing so, Respondent does not clearly assert whether it makes a factual attack or facial attack to jurisdiction.<sup>5</sup>

In any event, contrary to Respondents' arguments otherwise, Complainant has plainly alleged sufficient factual allegations that Respondents violated 46 U.S.C. § 41103(a). Section 41103(a) prohibits, "[a] common carrier, marine terminal operator, or ocean freight forwarder, either alone or in conjunction with any other person, directly or indirectly, [from] knowingly disclos[ing], offer[ing], solicit[ing], or receiv[ing] any information concerning the nature, kind,

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<sup>5</sup> A motion for dismissal for lack of subject matter jurisdiction may assert either a "facial attack" or a "factual attack" to jurisdiction. A facial attack accepts the truth of a plaintiff's allegations but challenges the sufficiency of the allegations in the complaint to invoke federal jurisdiction. A factual attack, on the other hand, challenges the existence of subject matter jurisdiction in fact, irrespective of the pleadings, by contesting the truth of a plaintiff's factual allegations – typically with evidence outside the pleadings, such as testimony and affidavits. *E.g. Leite v. Crane Co.*, 749 F.3d 1117, 1121 (9th Cir. 2014).

quantity, destination, consignee, or routing of any property tendered or delivered to a common carrier, without the consent of the shipper or consignee, if the information—(1) may be used to the detriment or prejudice of the shipper, the consignee, or any common carrier; or (2) may improperly disclose its business transaction to a competitor.” The Complaint alleges in multiple places that Respondents knowingly received information about the nature, kind, quantity and destination of cargo tendered or delivered to Logfret B.V., as an agent on behalf of Logfret, Inc., *see* Compl. ¶¶ 15, 22, but then took steps unlawfully and in coordination with the FMC-licensed NVOCC Delmar USA to send the cargo on Delmar USA bills of lading instead of Logfret, Inc. bills of lading, as intended and agreed, *see* Compl. ¶¶ 16, 22. These actions were completely outside of the normal course of dealing that shippers/consignees typically expected of Logfret B.V., which *always* used Logfret, Inc. for cargo sent to the United States. Further, the shipper or consignee, to its detriment, was not informed that its cargo was being shipped with a third-party, Delmar USA, under nefarious circumstances, instead per the usual course of business. Respondents argue that the shipper or consignee impliedly consented to the use of Delmar USA but “implied consent” in a vacuum of information, purposefully withheld, should not be considered as such and deprives shippers and consignees from making informed decisions as to the regulated entities they choose to engage for ocean transportation services.

Further, Mr. Bergwerff’s and Ms. Sieval’s redirection of cargo information to Kirsha B.V., which routed these shipments to Delmar USA instead of Logfret, Inc. necessarily entailed the disclosure to Delmar USA of sensitive information about the nature, kind, quantity, and destination of cargo tendered to Logfret, B.V. Not only was Respondents’ unlawful disclosure of cargo information to Delmar USA hugely prejudicial to Logfret, Inc. and to the shipper who did not consent to the same with complete information, but Respondents’ activities were an

obvious cause of financial and business harm to Logfret, Inc.

This activity was certainly done without the knowledge or approval of Logfret, Inc.; in fact, Logfret, Inc. only learned about the unlawful conduct after the fact. Respondents argue that “it is quite routine that U.S. NVOCCs retain the services of other NVOCCs to act as their agents in areas where the NVOCC which issues its bill of lading does not have affiliated offices in particular locations.” (Respondents’ Memorandum, pp. 19-20.) Regardless of whether this statement is accurate as a general matter, it is certainly untrue—and inapplicable—in this case where the tendering of cargo to a third-party NVOCC was anything but “routine.” As affiliates, Logfret B.V. acted as agent for Complainant, the licensed NVOCC, for Netherlands-U.S. traffic. Complainant, and its affiliated entities, have offices in all locations relevant to the cargo at issue. The conduct of Respondents and Delmar USA, which interrupted this arrangement to the detriment of Complainant, among others, are violations of § 41103(a), over which the Commission has clear subject matter jurisdiction.

Further, per the Amended Complaint, we reiterate that the Respondents also violated 46 U.S.C. § 41104 which states, in relevant part, “[a] common carrier, either alone or in conjunction with any other person, directly or indirectly, may not—(1) allow a person to obtain transportation for property at less than the rates or charges established by the carrier in its tariff or service contract by means of false billing, false classification, false weighing, false measurement, or any other unjust or unfair device or means...” During a period from at least January 2017 to May 2017, Mr. Bergwerff and Ms. Sieval, with the direct involvement of Kirsha B.V., issued one or more fraudulent bills of lading under Complainant’s name, without authorization, for inbound shipments to the United States. Cargo rates and charges for these shipments relied on figures negotiated between Complainant and the underlying carrier, meant solely for Complainant’s use,

not for the use of Mr. Bergwerff and Ms. Sieval in arranging for fraudulent shipments using Complainant's name and license. As discussed above, in arranging and benefiting from the provision of the ocean transportation, Mr. Bergwerff, Ms. Sieval, and Kirsha B.V. acted as *de facto* "common carriers" within the definition at 46 U.S.C. § 40101 and "non-vessel-operating common carriers" within the definition at 46 U.S.C. § 40101, by "holding themselves out" to the public as NVOCCs and also "assuming responsibility for the transportation of goods" in their capacity as unlicensed NVOCCs. In so doing, Mr. Bergwerff, Ms. Sieval, and Kirsha B.V. allowed the shipper of the cargo moving pursuant to unauthorized bill of lading to obtain transportation for property at less than the rates that would have otherwise applied if the shipper had obtained transportation from the underlying carrier at the applicable rate, such as its tariff rate. Such conduct violates 46 U.S.C. § 41104.

Respondents have stated that they "do not intend to respond to this further inane count in view of the fact that Respondents clearly did not act as carriers." Complainant argues that the individuals, acting completely independently, and outside of their authorized capacity as employees of Logfret B.V., did act as common carriers.

Respondents assert that this dispute is not about violations of the Act. Instead, respondents speculate that this is "more in the contractual arena than the regulatory" and "sounds like a contract or management dispute." In fact, Respondents' activities fall squarely within the conduct that Congress aimed to prohibit with § 41103(a) and § 41104. If Respondents' nexus of activities involved breaches of conduct in addition to regulatory violations, this does not automatically remove it beyond the reach of the Commission's authority. If anything, the presumption turns the other way. In its decision in *Cargo One, Inc. v. Cosco Container Lines Company, Ltd.*, for example, the Commission considered a service contract case despite

respondents in the dispute arguing that it was merely a breach of contract claim. In fact, the Commission determined that “where the alleged violation raises issues beyond contractual obligations, the Commission will likely presume, unless the facts as proven do not support such a claim, that the matter is properly before the agency.” *Cargo One, Inc. v. Cosco Container Lines Company, Ltd*, 28 S.R.R. 1635, 1645 (2000). In this Complaint brought by Logfret, Inc., the unlawful conduct alleged is a violation of the Shipping Act, within the Commission’s powers and mandate to adjudicate.

### **III. Respondents Did Not Make a Special Appearance to Argue that Complainant Does Not Adequately State a Claim Upon Which Relief Can Be Granted**

In their Notices of Special Appearance in this proceeding, counsel for Respondents state that “Respondents dispute the Federal Maritime Commission’s...personal jurisdiction over Respondents, and the Commission’s subject matter jurisdiction over the matters pleaded in the subject complaint.” (Respondents’ Notice of Special Appearance for Carlos Rodriguez, p. 1; Respondents’ Notice of Special Appearance for Sylvia Bartell, p. 1.) In the Motion to Dismiss, counsel for Respondents appear “solely for the purpose of opposing the Complaint pursuant to Rules 12(b)(1) and 12(b)(2)...” (Respondent’s Motion to Dismiss.) In the accompanying Memorandum, Respondents argue for dismissal of the Complaint “for lack of subject-matter [sic] and personal jurisdiction...pursuant to the Federal Rules of Civil Procedure, Rules 12(b)(1) and (2).” (Respondents’ Memorandum, p. 1.)

It is patently obvious that Respondents did not bring a claim for dismissal of the Complaint pursuant to Fed. R. Civ. P. 12(b)(6), that is, for failure to state a claim. Confusingly, however, a large portion of Respondents’ memorandum discusses this supposed failure to make a sufficient and plausible pleading. (Respondents’ Memorandum, p. 1-2, 9-11). Perhaps even more confusingly, Respondents refer to Federal Rule of Civil Procedure Rule 8 in arguing that

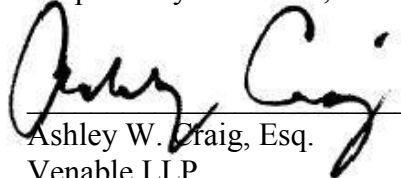
“the pleadings as to Kirsha B.V. and the other Respondents do not allege any facts to state a claim.”<sup>6</sup> (Respondents’ Memorandum, p. 2.) Because counsel for Respondents did not make an appearance for purposes of claiming that the Complaint does not state a claim upon which relief can be granted, these arguments are improper and should not be considered by the Commission. Therefore, Complainant does not substantively address them herein.

### **CONCLUSION AND RELIEF REQUESTED**

For the reasons set forth above, Logfret, Inc. respectfully requests that Your Honor deny Respondents’ Motion to Dismiss. Alternatively, Logfret, Inc. respectfully requests that Your Honor defers ruling on Respondents’ Motion to Dismiss to permit sufficient discovery to establish certain facts relevant to issues of jurisdiction.

Dated at Washington, D.C. this 8th day of May 2019.

Respectfully submitted,



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<sup>6</sup> Fed. R. Civ. P. 8(a) requires, among other things, that a pleading stating a claim for relief contain a short and plain statement of the claim showing that the pleader is entitled to relief. *See* Fed. R. Civ. P. 8(a).

## **CERTIFICATE OF SERVICE**

I hereby certify that I have this day served the foregoing document upon all parties noted below by mailing a copy to each such person:

Carlos Rodriguez, Esq.  
Sylvia Bartell, Esq.

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*Counsel for Respondents*

Dated at Washington, D.C. this 8th day of May 2019.

/s/ Ashley Craig  
Ashley W. Craig  
*Counsel for Complainant*